EXECUTIVE ORDER

AUTHORIZING THE ALIEN PROPERTY CUSTODIAN TO SELL CERTAIN PROPERTY UPON THE NEW YORK STOCK EXCHANGE

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DIVISION OF PUBLICATIONS

By virtue of the authority vested in me by an Act of Congress entitled "An act to define, regulate, and punish trading with the enemy and for other purposes," approved October 6, 1917, known as the "Trading with the Enemy Act", and the amendments to such Act embodied in "An act making appropriations to supply urgent deficiencies in the appropriations for the fiscal year ending June 30, 1918, and prior fiscal years on account of war expenses and for other purposes", approved March 28, 1918, and the amendment to such act embodied in "An act making appropriations to supply deficiencies in appropriations for the fiscal year ending June 30, 1919, and prior fiscal years on account of war expenses and for other purposes", approved November 4, 1918, and all other amendments thereto, to make certain orders such as that herein contained, I hereby, in the public interest, making the following determination, order, rule and regulation:

The Alien Property Custodian is hereby authorized to sell upon the New York Stock Exchange, at such time as to him or to his authorized agent may seem advisable, without public or other advertisement, two thousand ninety eight (2098) shares of the Class B common stock of the R. J. Reynolds Tobacco Company, a corporation organized under the laws of the State of New Jersey, of the par value of $25.00 per share, which said shares were heretofore required to be conveyed, transferred, assigned and delivered to the Alien Property Custodian as the property of Ernst P. Gutschow, under the provisions of the "Trading with the Enemy Act".

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My reasons for the foregoing determination and order are:

First: That the earnings of the corporation over a period of several years would indicate that there is no reason to anticipate an increase in the dividend rate and that the income return upon the investment based upon the current market quotations is too small to warrant the retention of the principal in a security the market value of which fluctuates so widely.

Second: That the sale of the said stock and the investment of the proceeds in Liberty Bonds or Certificates of Indebtedness of the United States Government would insure a fair income upon the investment and conserve the principal, preventing possible depreciation by reason of a decline in the market price.

Third: That the sale of the said stock will result in the realization in tangible form of a great increase in principal by virtue of the appreciation of the market value of the stock since the time of its issue and since its seizure by the Alien Property Custodian.

Fourth: That a public or other advertisement of the sale of the said stock or attempted sale at auction, would be a useless formality involving unnecessary expense and inconvenience, and would cause such a delay as to imperil the realization of a price equal to that now prevailing on the open market.

Mitchell Palmer

THE WHITE HOUSE,
Washington,
February 9, 1925.

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